



To make money in direct equity, we want to buy an asset and then sell it at a price much higher than the buying price. With this, we make a profit on the sale. This is similar to how people invest in real estate. For equity, this can be done in two ways.

First, one must buy shares of companies that have a market price lower than the estimated intrinsic value. For example, pick a company that is selling for Rs. 60 per share (price), whereas, the intrinsic value of the share is around Rs. 100 (value) according to our research and analysis. Then, we will wait for the price to catch up with the value. This might take a few years. Once the market price crosses Rs. 100, then we can sell to book our profits. By this time, the value might increase even more and so we can wait longer. This is called value investing.

